EXTROPY ENGINE · 6 SEPTEMBER 2026

Law-Shaped Design

Howey, tax, states, other desks.
Not an opinion letter. Hire counsel before payroll mentions sparks.

Randall Gossett · 6 September 2026
Not legal advice. Not a brief. Not a promise that a court will agree.
Hire counsel before a shop tells payroll “we replaced the discount with EP.”

This is how the meters were *aimed* at tests that already exist: Howey, income tax, money transmission, stored value, e-money, MiCA. A parallel system that sits next to cash until ρ climbs. If a room turns the spark into a bag, they walked off this map and into those statutes on purpose.

Letters stay as on the key(/key) and meter math(/docs/METER-MATH.md).

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1. What is even in front of a court

Not “is Extropy Engine a security.” Howey attaches to an offer or sale, not a logo.

Possible fact patterns:

Fact pattern	What a lawyer actually has
A closed loop mints XP. Nobody paid doll	Weak “investment of money.” Standing fro
A shop knocks pennies off a ticket. EP b	A discount. Old commercial law.
Someone sells “XP packs,” lists EP, or c	They left the charter. Howey and money-t
Someone buys a node box from Randall exp	That *sale* can be Howey even if the met

The design is: never create the sale of standing. If you need revenue, sell a laptop at cost. That is a toaster.

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2. Howey, prong by prong

SEC v. W.J. Howey Co., 328 U.S. 293 (1946). Four pieces. All of them, or it is not that test.

1. Investment of money.
XP is minted on a closed loop. CT is minted when a web posts a task and it closes. EP is derived and dies. There is no purchase screen for standing. A grocery ticket that still has a cash line is a purchase of milk, not of XP.

Soft spot: if onboarding ever charges “to get standing,” that prong lights up. Don’t.

2. Common enterprise.

A mesh of DFAOs can be argued as horizontal commonality (everyone’s standing sits on one graph) or vertical (depends on SignalFlow / Randall / a MACRO). Horizontal commonality is the one plaintiffs like. The honest reply is: standing leaks, does not pool into a treasury, and a shop eats its own discount. There is no pot.

Soft spot: a city DFAO that starts running a shared kitty “to reimburse tills” just built the pot. Forbidden on purpose.

3. Expectation of profits.

Profit in Howey-land is capital appreciation or participation in earnings. XP cannot be sold. CT cash-wrap sets $\kappa = 0$ and exiles the room. EP does not persist. A cheaper carton of milk is not a dividend.

Soft spot: marketing that says “your XP will be worth more when the city fills up.” That sentence is a Howey magnet. Say “your ticket may be cheaper here if this house set $H > 0$.” Different claim.

4. Solely (or essentially) from the efforts of others.

Howey’s “solely” got softened by later cases to essential managerial efforts of others. If a buyer sits still and Randall / a foundation makes the number go up, that prong is live. If the number only moves when *you* close loops and *this house* sets H, it looks more like using a shop.

Soft spot: a passive “hold XP and wait.” Decay is there to make holding stupid. Do not add a sink that pays idle people.

Reading we are designing toward: no investment contract in the meters as specified.

Reading a hostile court can still invent: the whole mesh is a scheme and the website was the prospectus. That is why the site must not promise upside from other people’s work.

Ripple-style “programmatic vs institutional” splits are about *sales*. If you never sell the meter, you are not in that fork of the case law. Do not get comfortable. Other circuits do not owe you Ripple.

3. What the SEC / a state securities desk actually does

They do not read Codex v2.1 for fun. They read:

- Did anyone pay money for a thing that goes up if the project succeeds?
- Is there a telegram full of exit liquidity?
- Is the founder talking like a fund manager?

Likely early reaction to a *correctly specified* overlay: ignore it, or treat it as a weird loyalty program.

Likely reaction if a room lists CT: enforcement shape of every 2017 coin.

State securities (blue sky) can be faster and dumber than the SEC. New York and California will look at anything that smells like a virtual currency. Do not call it a currency. Parallel system. Overlay. Discount. Standing. Spark.

BitLicense / analog licenses attach when you are transmitting or holding *currency-like* value for others. A till that burns EP in the same second is not holding a balance for the customer. A wallet UI that shows “EP balance” is asking for that license. Do not ship that UI.

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4. Federal tax (United States)

Again: not advice. The Code does not contain the letter EP.

4a. Customer at a till (not an employee)

You paid $3.97 instead of $4.00 because L moved. That is a price. The customer generally does not have $0.03 of gross income. They bought milk cheaper. Shops already do this with coupons.

Do not issue a 1099 for a spark. Do not tell people EP is income. Do not tell people EP is tax-free *income* either — it is not framed as income if it is a price.

If a shop starts “paying” invoices in EP, that is barter. Barter is income at FMV. That is the cash-wrap exile in tax clothing.

4b. Employee on their own ticket

Existing law already knows employee discounts.

IRC § 132(c)(https://www.law.cornell.edu/uscode/text/26/132) — qualified employee discount:

- Property: exclusion up to the employer’s gross profit percentage.
- Services: exclusion up to 20% of the price to customers.
- Same line of business.
- Not real estate or investment property.
- Reciprocal discounts at another employer generally do not get the 132(c) exclusion.

That last line matters for the CT web. Same CT at the grocery and the laundromat is the *protocol*. Tax law may still treat “staff of A discounted at B” as a fringe that does not fit 132(c), because B is not the employer.

Then you fall to:

- De minimis (§ 132(e)) if it is small and infrequent. Pennies help. A dense-mesh half-off at a non-employer does not.
- Ordinary § 61 compensation if it looks like extra pay.

So: EP can *replace the in-house discount desk* with less drama. Cross-shop staff discounts across a city web are the tax landmine. Counsel before a MACRO advertises “employees eat free across downtown.”

Wages stay wages. Payroll tax stays payroll tax. Do not route salary through EP.

4c. The shop’s books

A discount is lower revenue (or contra-revenue). Not a deductible “EP expense” to a protocol. The house ate the margin. That was the point. Lying about Σ_$ / Σ_EP is still lying about books. Contest remains.

4d. Loyalty programs the IRS already sees

Points-as-cash-equivalent get treated like gift cards / stored value when they are transferable or redeemable for cash. Non-transferable closed-loop points are usually ignored until redemption, and redemption is a discount.

EP is designed to skip the stored-value year: nothing sits. If you let EP sit, you volunteered for gift-card law.

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5. States

Federal Howey is not the only desk.

Money transmission. Most states license people who receive money for transmission to others. A protocol that never holds the customer’s dollars is in a better seat than a wallet company. A “spark bank” is a transmitter. Don’t build one.

Stored value / gift cards. State gift-card statutes and unclaimed-property (escheat) attach to unused balances. EP that dies in the sale has no unused balance. Loyalty points that persist for five years are how treasurers get paid. Another reason the spark must die.

Virtual currency statutes. Some states copied a “medium of exchange” definition. Marketing that says “this replaces the dollar” is how you walk into that definition. Marketing that says “cash still clears; this is a discount overlay” is the parallel-system line.

Employee / labor. State wage laws still want legal tender for hours worked. EP is not wages. A shop that cuts the hourly rate “because they get sparks” is wage theft. The charter already said payroll stays payroll.

Sales tax. A discounted price is usually sales-taxed on the price collected, but states differ (tax on pre-coupon vs post). That is a shop-and-jurisdiction problem, not a new letter.

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6. Other countries (sketches, not surveys)

EU — MiCA + e-money.
MiCA’s crypto-asset definition is about a digital representation of value that can be transferred. Recital language has been used to keep issuer-only / limited-network loyalty points outside. E-money Directive limited-network exemption is the cousin: stamps at one shop or a tight list of shops.

A city-wide CT web that looks like a multi-merchant purse will get the question: is this e-money? The honest design answer is: it does not store redeemable value; it stores standing; the till computes a discount that dies. The honest political answer is: some supervisors will not care and will want an EMI license anyway. Then those shops park H.

UK. Similar loyalty vs e-money split. FCA has asked whether points have cash value. If they do not, easier. If staff can “spend CT” as if it were sterling, harder.

Canada / Australia. Securities tests are Howey-cousins plus local wrapping. Loyalty is common. Do not list a token on a venue.

China and peers that banned private crypto. They will not parse κ. If it looks like a token, they stamp it. Park H. Cash works. Parallel system includes “this country is cash-only.”

Places with aggressive FX control. Anything that looks like escaping the official tender gets shot. Again: H = 0 is the compliance switch. The mesh does not have to be global to be real.

7. How a government actually reacts (prediction, not a filing)

Ignore while it is pennies and two shops.
Reclassify as loyalty / coupon if you keep the no-bag line and payroll separate.
Reclassify as virtual currency / e-money if you ship a balance screen or a chart of “EP/USD.”
Enforcement if anyone sells standing or reimburses tills from a pool.
Tax memo if cross-employer discounts get big. That memo will land on 132(c)’s reciprocity limit, not on Landauer.

None of that is entropy. It is desks. The overlay’s job is to stay next to those desks until a desk is unused.

8. Design rules that are doing legal work

These are already lose-conditions. They are also how you stay out of the easy cases.

1. Do not sell XP, CT, or EP.
2. Do not let EP persist. No balance UI.
3. Do not reimburse a till from a treasury.
4. Do not pay wages in sparks.
5. Do not advertise profit from other people’s loops.
6. Do not call it a currency, a coin, or a replacement dollar. Parallel. Overlay. Discount.
7. Cross-shop staff discounts = call a tax lawyer before the MACRO banner.
8. If a jurisdiction stamps it money, park H. That is compliance, not surrender of the mint.

9. What this file is not

Not an opinion letter.

Not “the IRS said pennies are fine.”

Not “MiCA blessed CT.”

Not a reason to skip counsel when a real shop turns H on.

The math can replace the punch-card desk. The Code already has a slot for in-house employee discounts. The city-wide cooperative is the part that needs a human lawyer, because that is where 132, e-money, and “are we a mall gift card” meet.